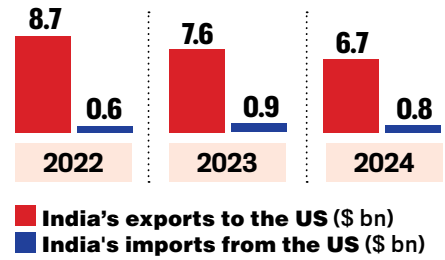
PHARMACEUTICALS

Safe, for Now

Pharma stocks in India fell nearly 2 per cent on April 9 after Trump, for the second time in less than a week, threatened tariffs. Earlier too, the US president had warned that they were looking at pharma as a "separate category" and that "tariffs are going to come in at levels you haven't really seen before".

SIZE OF TRADE

The US meets 40 per cent of its generic medicines requirement from India. In FY24, India exported pharma worth $8.7 bn (Rs 75,380 cr.) to the country



TARIFF WAR

	US	India
Earlier	0-6.4%	10%
Now	Unchanged	Unchanged

(Average tariff)

Source: Industry, TradingEconomics.com

OIL AND GAS

NO CRUDE JOLT YET

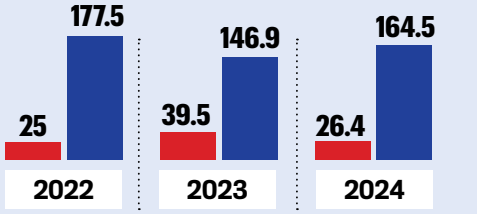
India's oil imports far outstrip its exports of the commodity. It is the second largest importer in the world after China. It imported 232.5 million tonnes (MT) of crude in 2023-24 for $132.4 billion (Rs 11.4 lakh crore). Crude imports from the US in March 2025 were 244,000 barrels per day (bpd).

THE IMPACT

Oil and gas had anyway been exempted from Trump's reciprocal tariffs, but were they to kick in, India could be affected in two ways. One, we'll have to increase our imports of oil and gas from the US to bridge the trade gap to some extent. The other impact would come from falling crude oil prices in the global market. Oil prices fell from $77 per barrel on Mar. 31 to around $65 on Apr. 8. This steep fall in just a week was driven by prospects of the world going into a recession and retaliatory tariffs from China. Additionally, the planned production hike by OPEC nations is also contributing to downward pressure on crude prices. An increase in imports from the US would mean a lowering of imports from Russia. This was following sanctions the Joe Biden administration had imposed against Russia's oil trade in early January this year. During April-November 2024, India imported 158 MT of crude for $95 billion (Rs 8.2 lakh crore). Of this, 61 MT was from Russia, 31.7 MT from Iraq, 20 MT from Saudi Arabia and 13.3 MT from the UAE. ■

SIZE OF TRADE

In FY24, India imported 7.9 MT of crude from the US, around 3 per cent of its overall imports. In FY25 too, India imported a similar quantity



Source: US Energy Information Administration

TARIFF WAR

Oil & gas had anyway not been part of Trump's barrage of reciprocal tariffs. The status quo is likely to continue unless India trips up on crude from one of the sanctioned countries

HOW TO COME OUT A WINNER



By **PRASHANT VASISHT**
Senior V-P and Co-Group Head, Corporate Ratings, ICRA

- **Crude prices plunged, but the Centre hiked excise duty on petrol/diesel by Rs 2/L. Estimated higher collections for FY26: Rs 35,000 cr.**
- **Domestic LPG up by Rs 50 per cylinder; hike will support oil marketing cos suffering from under-recoveries on domestic sales**
- **Crude price crash will keep marketing margins of oil marketing firms healthy despite the excise duty increase**